

WALL STREET JOURNAL -

SOUTHEAST

New York, NY

Morning Circulation - 239,345

SOUTHEAST EE/CH EDITION

MAY 3, 2002



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Retailers Create Own-Label PCs as Brand Names Dwindle

*Best Buy, RadioShack Canada
Say Customers Need More Choices,
Just as With Toasters and TVs*

By GARY MCWILLIAMS

WITH THE COMPUTER selection on their shelves shrinking, big electronics retailers are creating their own private-brand PCs, much like many supermarket chains sell own-label soda and cereal.

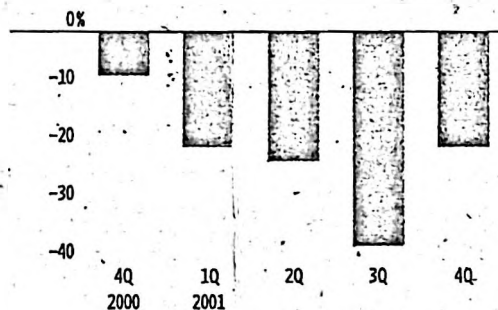
Already, such giants as Best Buy, Future Shop and RadioShack Canada have launched house-brand PCs—some with the encouragement of chip maker Intel Corp. Several other chains are quietly exploring such store-brand offerings.

One reason is that private-label goods usually carry bigger profit margins than brand names. But another, equally important factor is driving the retailers: Consumers want more choices.

International Business Machines Corp., Acer Inc., Packard Bell and Zenith all dropped out of the cutthroat retail-PC business in recent years as profits eluded them. Hewlett-Packard Co.'s pending purchase of Compaq Computer Corp., which would combine the No. 1 and No. 2 retail PC play-

Tumbling Sales

Year-over-year percent change in retail PC unit sales



Source: NPD Intellect

ers, is expected to reduce selection even further.

"If all we do is offer three brands, we will not get the customers," says Steven K. Lee, a vice president at Best Buy Co. Buyers at such "big box" stores, where 40% of retail PCs are sold, are used to comparing a wide selection of offerings, whether they're in the market for TVs or toasters. Mr. Lee and others say retailers risk turning off

buyers if each chain carries the same selection of H-P, Sony, eMachines or Apple models.

Indeed, many big-name PCs have near-identical styling, pricing and features. Most desktop PCs, for instance, now come in black-and-silver cases. With their own brands, retailers hope to spice up the market with unusual styles and features.

Last month, Best Buy began selling a line of PCs for teenage game players that comes in fluorescent green or deep blue in addition to black and silver. Like many of the private-label PCs, these machines aren't cheap: Priced at upwards of \$2,300 excluding the monitor and speakers, they are the highest-priced PCs in the stores. But they also have fancier components than similarly priced brand-name PCs.

The move to private-label brands reflects the frayed relations between retailers and PC makers as equipment profits have dwindled. Typically, computer makers earn just an 8% profit on retail PCs, and the retailer's profit can be 5% or less. Retailers also say suppliers including Compaq and Japan's Sony Corp. are restricting retail shipments so they won't have to discount unsold machines.

Brian E. Levy, chief executive officer of Inter-TAN Inc., which runs 920 RadioShack Canada stores, says that last Christmas, RadioShack Canada couldn't meet demand for computers with

Please Turn to Page B3, Column 1

Res Create Own-Label PCs as Brands Shrink

Continued From Page B1

the latest Intel Pentium 4 chips. "The big companies were thinking business wasn't going to be as good as it was," he says. "The units weren't there to be had."

Intel is cultivating the development of private-label PCs with the same lavish financial incentives it once rained exclusively on big PC makers. In addition to consumer rebates and financing funds, Intel has helped open doors among Asian parts suppliers and recommended PC assemblers, the retailers say.

An Intel spokeswoman confirmed it has increased its involvement in such retail programs but wouldn't say whether it helped retailers locate suppliers.

The chip giant's involvement isn't surprising: PC consolidation threatens Intel's bargaining power with PC makers as much as it does the big retailers. "It's clear by their behavior they want a lot of brands. Intel wins in the strategy when there is no strong brand out there," which could drive down Intel's profits, says Robert G. O'Malley, chief executive officer of Immersion Technology Inc., a

San Jose, Calif., a supplier of technology used in computer "joysticks."

Just as department stores stock private-label suits and jeans to boost profit margins, the electronics retailers are looking to house brands to increase their profits and counter the inroads of direct PC sellers such as Dell Computer Corp. Best Buy's Mr. Lee says the Minneapolis-based retailer also is trying out services that would let customers buy, install and test new computer accessories such as DVD players and cable modems. The company will expand the approach to all its nearly 500 stores this year.

Ted Waitt, CEO of home-PC maker Gateway Inc., calls Best Buy and Dell his two biggest competitors today. "Best Buy moved a lot of those [private label] products very quickly," he says. "They can drive a lot of share with that model."

Most other PC makers shrug off the house brands. H-P and Compaq spokesmen say their products haven't lost any shelf space to private labels. Indeed, house brands haven't been all that successful in the past. CompUSA last year quit selling

its house brand and recently added eMachines Inc.'s full line of desktop PCs.

"I don't believe retailers have the inherent competency to create and manage a brand, particularly in the area of after-sale service," says Wayne R. Inouye, eMachines' chief executive officer. His company will add notebook PCs to its lineup in the fall, when retailers are preparing their holiday offerings.

But Best Buy and RadioShack Canada say their computer and related product sales are up since they added their own brands early this year. Industry observers say Circuit City Stores Inc. also is considering a private-label addition. A Circuit City spokeswoman declined to comment.

"Retailers won't let H-P keep all that valuable shelf space" if it completes the purchase of Compaq, says Peter S. Kastner, chief research officer at market watcher Aberdeen Group. He says that second- and third-time PC buyers know enough to accept house brands—especially if they are built from components by well-known makers such as Intel.